CONFIDENTIAL INTERNAL COMMUNICATION
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Hotel Contract Execution and Spending

The purpose of this policy is to define the approvals required for all Hotels (Owned, Leased, Controlled Joint Venture, and Managed) to enter into new contractual commitments, to renew any existing contractual commitments, and/or to authorize expenditures not otherwise excluded in this policy.

POLICY STATEMENT

This policy covers Operations, Finance, Architecture & Construction/Asset Management, and Legal approvals required for Hotel contract execution and spend. The Hotel must obtain all of the relevant approvals as required under this policy and maintain the contracts / approvals on file.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. CONTRACT EXECUTION AND SPEND GUIDELINES

1. All approvals must be evidenced in writing or electronically (where possible). This may be a physical (wet) signature, electronic approval in a system (i.e., procurement system, capex system, etc.), or an email directly from the approver's email address. Verbal direction does NOT constitute an approval for the purpose of this policy.

2. All contracts must be approved in accordance with this policy, including Tenant and Concessionaire contracts.

3. Approval must be obtained at every hierarchy level for amounts up to and including the value of the activity.

4. In addition to the approvals set forth in this policy in Sections B and C, certain additional procedures and approvals may also be required as follows:

   a) Additional legal and contract requirements – refer to Section D of this policy
   b) Additional approval – refer to Section E of this policy for specified areas of expenditures covered under separate policies as directed by IT, Purchasing, etc., depending on the nature of the activity
   c) Additional approvals for purchases of goods or services as required by policies HWI-HSM-002 Purchasing Policy - Goods and Services and HWI-HSM-003 Use of Supply Management
   d) Additional approvals for corporate technology driven initiatives as required by HWI-IT-024 Information Technology Services. Non-corporate driven technology initiatives shall conform to the requirements of the Approval Matrix within Section B depending on the nature of the activity. Please consult with your local IT Field Services representative for further guidance.
   e) For some JV & Managed Hotels, additional ownership approvals may need to be obtained as directed per the Management or JV Agreement.

5. All contracts entered into by the Hotel must be executed in the name of the Hotel owner. For Leased Hotels, the Hotel owner will be the lessee company.

6. For Managed Hotels, the contract must be within the authority limits as set forth in the Management Agreement. If the contract is not within Hilton's authority as manager, the Hotel owner must execute the contract or written approval must be obtained from the Hotel owner in order to execute the contract on their behalf.

7. Any payment in excess of $5M USD made in any single payment to any single entity, by a Hotel or Cluster of Hotels (excluding Shared Service Centers) requires the approval of the Regional Vice President Operations Finance. This is in addition to other approvals outlined within this policy and any other relevant policies.

8. Prior to signing any contracts, competitive, sealed bids should be obtained where possible. Depending on the value of the purchase and the product category, the type of bid (sealed, written, etc.) and the number of bids may be mandatory per policy. Under no circumstances are purchases to be divided into separate transactions in order to circumvent bidding requirements.

9. All contracts are to be signed for a specified time period, which must not exceed the termination date of the Lease, JV, or Management agreements.

10. In some situations, hotels may have "rolling contracts" which are reviewed annually. Such contracts may only be renewed without change three times, after which a full review must take place and a new contract signed. If Hilton's contract terms or any applicable law changes during any term or rollover of the contract, then the contract must be revised accordingly at the first opportunity.

11. All terminations of contracts must be in writing and a copy of the termination notice kept on file.

The following contracts and/or expenditures are covered under separate policies and do not need to comply with this policy:

1. Group sales, catering, and other contracts entered into in the ordinary course for the provision of guest rooms or function space or for the sale of food, beverage, or other products or Hotel services.

2. Employment contracts between Hilton or Hotel owner and the Team Members assigned to a Hotel.

3. Purchase orders issued and expenditures incurred by an individual Hotel in the normal course of business that are budgeted for within that Hotel's operating budget and do not cover multiple time periods and do not grant any future exclusivity or contain any other material legal issue. Refer to FP-OPSFIN-130 Accounts Payable Ordering and Receiving for further direction.

4. Intercompany payments and transfers, including principal and interest.

5. All tax payments including income, payroll, sales / VAT, real estate / property, etc**.**

6. Matters that have authority limits provided for explicitly in other functional policies such as:

   a. FP-OPSFIN-120 (Accounts Receivable Credit Arrangements)
   b. FP-OPSFIN-125 (Bad Debt Reserve & Write Offs)
   c. FP-FIN-200 Global Cash Management Policy

7. Renewal of a contract that (a) has been previously approved under this policy, (b) has no substantive changes in the terms, (c) is budgeted, and (d) is for a renewal term of one year or less. All price changes are considered a substantive change for the purpose of this exclusion.

8. As noted, this policy only covers Hotel contract execution and spend. For corporate departments or units, please refer to HWI-FIN-106 Corporate Spending and Contract Execution Transactions policy.

9. Development initiatives are governed by FP-FIN-400 Global Deal Approval policy.

10. Even if excluded under this policy, all Contracts entered into by the Hotel must be executed in the name of the Hotel owner and must be within the authority limits as set forth in the Lease, JV, or Management Agreement (if applicable).

B. HOTEL CONTRACT EXECUTION & SPEND APPROVAL MATRIX

Hotel Contract Execution & Spend Approval Matrix

(*All amounts in US dollars and **net** of all taxes)*

APPROVAL LIMITS AND TERM			REQUIRED APPROVALS		
Amount	**Term**		**Operations Approver**	**Finance Approver**	**Legal Approver**
Over $3,000,000 USD	or a term	Greater than five years	EVP Area President	SVP Operations Finance	SVP
Up to $3,000,000 USD	and a term	Less than or equal to five years	SVP Area President (if not applicable, EVP Area President)	VP Operations Finance (if not applicable, SVP Operations Finance)	SVP
Up to $1,500,000 USD	and a term	Less than or equal to five years	SVP / VP Operations	Regional Finance Director (If not applicable, VP Operations Finance)	VP
Up to $750,000 USD	and a term	Less than or equal to three years	Area VP Operations[1] Country Manager (or equivalent)[2]	Country Finance Leader (or equivalent) (if not applicable, Regional Finance Director)	Counsel [3]
Up to $200,000 USD	and a term	Less than or equal to two years	Operations Leader	Finance Leader	Counsel, Contract Manager, or Paralegal [3]
Up to $50,000 USD	and a term	Less than or equal to five years	Operations Leader	Finance Leader	Counsel, Contract Manager, or Paralegal [4]

[1] Applicable for Americas region
[2] Applicable for EMEA & APAC regions
[3] Approval by the Legal Approver is not required if the contract does not have a Material Legal Issue AND either:

(i) the contract is on an approved Hilton Legal form (with terms un-amended) or
(ii) The contract is prepared and agreed under a process established by Hilton Legal (including the use of external lawyers approved by Hilton Legal for such type of contract).

[4] Approval by the Legal Approver is not required if the contract does not contain a Material Legal Issue AND is for a value up to $100,000 USD

1. Owned, Leased, and consolidating JV hotels, must also comply with the approval authority guidelines as defined by board resolution and further clarified in HWI-FIN-106 Corporate Spending and Contract Execution Transactions Policy. For example, commitments valued at greater than $1M must also meet the approval of the Investment Committee. This is ***not*** to state that all Owned, Leased, and consolidating JV properties must comply with HWI-FIN-106 in its entirety.

2. The above matrix provides for the required authority levels for the Operations, Finance, and Legal approvers that are required prior to entering into any expenditures and/or contracts unless otherwise excluded or specified within this policy. For spending by Owned, Leased, or consolidating JV Hotels in excess of US $3,000,000, the Regional VP of Operations Finance will confirm that requisite approvals are obtained from the Investment Committee, Finance Committee, and/or Board of Directors as required by HWI-FIN-106 Corporate Spending and Contract Execution Transactions Policy.

3. For purposes of the above matrix, Approval Limits are defined as the total gross economic value of all transactions (i.e., total value of the contract, invoice, purchase order, barter/asset value) over the life of the commitment. This amount should be net of tax.

4. Approval by the designated Operations and Finance approvers may be obtained through a review and approval of a Heads of Terms document. This document would contain the rationale for the new contract, key terms, and summary detail of bidding and vendor selection rationale. It is not necessary for the Operations and Finance approvers above property level to review the actual contract although they may do so at their discretion. Contracts negotiated at the Hotel level are required to be reviewed in detail by both the Operations and Finance Leader.

5. For contracts that are required under an approved "Authorization for Expenditure" (AFE) or equivalent, the Project Manager (either at Architecture and Construction or property level) must ensure the contract is properly drafted and in accordance with the AFE (or equivalent) submissions. The contract must be executed in accordance with all relevant policies including obtaining any legal approvals and additional approvals as detailed within this policy. However, it is not a requirement to obtain any further Operations and Finance Owner approval beyond the AFE approval.

C. CAPITAL EXPENDITURE APPROVAL MATRIX

Hotel Capital Expenditure Approval Matrix

AFE Workflow		1Property AFE Initiators	Level 2 Finance	Level 2 Ops Eng., IT, or A&C	Level 2 Asset Management (O/L) Area VP (M)	Level 3 Asset Management
Example Personnel		Finance Leader or Operations Leader	Regional Finance Director	Regional Ops Eng., IT or A&C	SVP Asset Management or Regional VP Ops Finance	Global Head Architecture Design & Construction
Capex Project Limits	< $100,000 USD	✓			If $1 USD to $250,000 USD Over Budget[3]	
	≥ $100,000 USD	✓	✓	✓	If $1 USD to $250,000 USD Over Budget[3]	If > $250,000 USD Over Budget[3]

[1]Level 2 Ops Engineering, IT, and A&C are determined in the AFE set-up and will route to the associated approver based on the project discipline field in the Capex database.

[2]Actual approvers are designated by function's senior leadership to approve capital projects. They are assigned by the Hotel and are maintained through the Capex database.

[3]Over budget thresholds shown reference Non-Schedule A classified projects. For Schedule A item(s), project bundles, two alternative guidelines are to be followed. The first references the total Schedule A budget for the Hotel and follows the same over budget threshold guideline of $1 USD over budget. The second references individual Schedule A line items and determines if an item is less than or equal to $7,500 USD over budget, it is considered In-Plan or within budget. Items greater than $7,500 USD are Out-of-Plan or over budget. For each instance, all other contiguous thresholds and approvals remain the same.

1. All Hotels must use the Capex Database (if available) for capital expenditure approval prior to committing any expense. Approval is obtained by using the database to complete an Authorization for Expenditure (AFE). AFEs can be completed in connection with the capital planning process for approved budgeted projects, known as In-Plan. Alternatively, projects can be completed outside of the planning process, which are considered Out-of-Plan. An AFE must be completed for all capital expenditures for these properties, irrespective of whether or not the project or item is part of an approved capital plan. Additionally, all capital projects must receive approval to proceed within the authority levels dictated by the AFE approval matrix. The database will route requests to the appropriate approvers based on the requestor's specifications during AFE creation.

2. Either the property's Finance Leader or Operations Leader has the ability to submit projects for AFE approval. By initiating a project in the database, the Operations Leader or Finance Leader indicates that all parties approve and that the project should proceed. If the AFE is under $100K and In-Plan, no additional levels of approval are required. At the property level, no authority exists to solely approve capital expenditures, including emergency and preliminary (initial design fee, model room, etc.) capital spending, that is not included within the annual plan.

3. Each hotel in the Capex Database is assigned above property approvers that correspond to the AFE Approval Matrix. These approvers are designated by the related function's senior leadership to approve capital projects. Title of the above property approver may vary by property or region and are subject to change per management's discretion. The roles are maintained and updated in the Capex Database by the system administrator. All properties will be assigned a Level 2 Finance, A&C, Operations Engineering, and IT approver. Owned and leased properties will also include Level 2 and 3 Asset Management for a total of six approvers. Owner funded and Managed properties are assigned a Level 2 Area Vice President for a total of five approvers.

4. The budget review threshold for Non-Schedule-A classified projects is one dollar over budget, per the AFE Approval Matrix. Due to the nature of the expenditure, additional levels of approval will be required for all Out-of-Plan projects. For Schedule-A item(s), project, or project bundles, two alternative guidelines are followed. The first references the total Schedule-A budget for the property and follows the same over budget guideline as Non-Schedule-A of one dollar over budget. The second references individual Schedule-A line items and determines if an item is less than or equal to $7.5K over budget it is considered In-Plan or within budget. Items greater than $7.5K are Out-of-Plan or over budget. For each instance, all other contiguous workflow thresholds and approvals remain the same.

5. For Managed Hotels, the Operations Leader is responsible for obtaining the approvals of the Hotel owner where required under the terms of the Management Agreement. For Leased Hotels, the Operations Leader is also responsible for obtaining any landlord / superior landlord consent where required under the terms of the lease.

Capital Disposals and Removal of Surplus Assets

Limits	Operations Approvers	Finance Approver	A&C / Asset Management Approver
> $1,000,000 USD	Area President	SVP of Operations Finance	SVP Asset Management
Up to $1,000,000 USD	Area President	Regional VP of Operations Finance (Americas, EMEA, APAC)	SVP Asset Management
Up to $500,000 USD	SVP Operations (Americas) or VP Operations (EMEA & APAC)	Regional VP of Operations Finance (Americas, EMEA, APAC)	SVP Asset Management
Up to $250,000 USD	AVP Operations (Americas) or VP Operations (EMEA & APAC)	VP of Operations Finance (Americas) Regional Finance Director (EMEA & APAC)	VP Asset Management
Up to $50,000 USD	AVP Operations (Americas) VP of Operations (EMEA & APAC)	Regional Finance Director	VP Asset Management
Up to $25,000 USD	Operations Leader	Finance Leader	VP Asset Management
Up to $10,000 USD	Operations Leader	Finance Leader	None required

1. Value for the purposes of determining the required approvals in the above matrix is based on the greater of market value, sales proceeds, or net book value of the asset as determined by FP-FIN-001-Fixed Asset Accounting policy.

2. Approval by the designated Asset Management Approver is only required for Hotels that are Owned, Leased, or consolidating Joint Ventures. For Managed Hotels, the Operations Leader is responsible for obtaining the approvals of the relevant specialists (e.g. Regional Director of Engineering, Regional Director of Information Technology, etc.), as well as the Hotel owner where required under the terms of the Management Agreement.

D. LEGAL APPROVAL GUIDELINES

1. Every Management Agreement delegates to Hilton, as manager, the authority to enter into contracts in the name of the Hotel owner. That authority is typically limited by a specified dollar amount or value, a length of term, or both. The specific limits vary by Management Agreement. Prior to entering into or renewing any contracts, the Operations and Finance Approver at the Hotel must confirm that the contract is within the authority limits specified in the Management Agreement. If it is not, the contract must be executed by the Hotel owner or the Hotel must obtain specific approval in writing from the Hotel owner prior to entering into that contract.

2. All contracts must be drawn in the name of the Owner or applicable Hilton entity as agents for the Owner. The following format on the contract should be followed:

   (Ownership Entity)
   (Hotel Name)
   By applicable Hilton entity as the managing agent.

   Exceptions to the format above require approval from corporate Legal.

3. Each Hotel must ensure that each agreement includes a written authorization by the Hotel owner to enter into any contracts requiring such authorization under the Management Agreement. For Leased Properties, landlord / superior landlord consent may be required in order to carry out works or to provide any rights of occupation to a third party by way of a Lease or Concession.

4. **Written Contracts are required under the following conditions:**
   Any Contract
   a) With a value greater than $5,000 USD, or
   b) that may not be terminated without cause on giving no more than two (2) months' notice without penalty, or
   c) that includes a Material Legal Issue (see #8 below) must be in writing, dated, signed by each party, and contain the basic terms and conditions of the agreement reached.

   The requirement that the contract be in writing is in addition to the approval requirements contained in the approval matrix of Part B of this policy. For all other contracts, written contracts are strongly recommended, but not required. Hilton Legal contract forms must be used whenever possible.

5. Once approved, contracts must be signed by an Authorized Signatory. Where the Hotel is subject to a Management Agreement, the signature block of the contract must comply with SPI-CO-2 and clearly indicate that the appropriate Authorized Signatory is signing for and on behalf of the Hotel owner. Note: SPI-CO-2 is currently only applicable to The Americas. No Contract may be entered into in the name of, or signed by, Hilton (except where Hilton is the Hotel owner) without Legal Department approval. Certain Owned or Leased Properties that do not have a Management Agreement in place may sign Contracts in the name of the Owner or Lessee which is a Hilton entity.

6. Contracts should be prepared and signed by both parties prior to allowing any person, supplier, company, or other entity to provide goods or services to the Hotel. It is best practice for the other party to sign before, or concurrently with, the Authorized Signatory and for the Hotel to retain an original executed copy.

7. Document Retention: Retention of contracts, commitment approvals, and any delegation of authority shall be governed by HWI-LG-010 Hilton Records Management Policy.

8. A Material Legal Issue is defined as the following:

   a. Litigation or dispute settlement in which:
      - ✓ The total costs (legal fees plus settlement amounts) exceed $50,000 USD
      - ✓ Hilton or an affiliated company, is named or
      - ✓ Any form of injunction or business restriction is included; and
      - ✓ All other litigation or dispute, settlement agreements which are not on a standard form approved for use by the corporate Legal Department

   b. Agreement with any non-competition or exclusivity provisions

   c. Agreements containing a parent company guarantee (a guarantee by a parent company on behalf of its subsidiary)

   d. Agreement in which the Hotel makes a commitment to acquire, transfer, or dispose of rights to information technology in any form

   e. Sponsorship agreement with a contract value greater than $25,000 USD

   f. Agreement between the Hotel owner and a third party not related to the operations of the Hotel

g. Agreement in which any intellectual property rights (patents, trademarks, copyrights, etc.) are licensed, transferred, or restricted; or involves the vendor's storage, transfer, or processing of Personal Identifiable Information (PII).

h. Agreement that involves charitable donation, political contribution, matching contribution, non-profit sponsorship, or other similar commitment of Hilton resources, endorsement, or sponsorship

i. Lease or Concession involving an Owned, Leased, or consolidating Joint Venture Hotel.

E. ADDITIONAL EXPENDITURE APPROVAL REQUIREMENTS

Certain types of contracts, regardless of dollar value or term, require additional approvals as follows:

CONTRACT TYPE	ADDITIONAL REQUIRED APPROVALS
Contracts involving a **Material Legal Issue**	Legal Counsel
Lease and Concession Agreements where Hilton is the lessor / landlord under the Lease or Concession and/or when Hilton is the lessee of real estate property, such as a parking garage or storage space, etc. Approval values are defined as (a) the total rent (or equivalent, including any lump sum or other payments upon signing) receivable under the Lease or Concession over the entire term (including any renewal rights exercisable at the option of the lessee / concessionaire) or (b) the total rent (or equivalent, including any lump sum or other payments upon signing) payable under the Lease over the entire term (including any renewal rights exercisable at the option of the lessor).	> US $250,000 or >5 years – SVP Asset Management > US $50,000 or > 1 year – VP Asset Management
Supply Management is required to be utilized for the purchase of goods and services in accordance with HWI-HSM-002 Purchasing Policy - Goods and Services and HWI-HSM-003 Use of Hilton Supply Management.	HSM / Supply Management
Technology Agreements: All contracts involving hardware, software, networks, software as a service, web sites, access to networks, or other information technology or services must be approved by the IT Department in addition to the approvals required by Section B of this policy. IT approval is required for all software and service agreements, regardless of the level of Hilton IT resources expected to be needed.	Field IT Services
Sponsorship agreements greater than $25,000 USD	Corporate Communications and Corporate Responsibility
Use of **brand marks** or other **intellectual property**	Brand Management
Contracts involving a Medium or High Risk Level, as defined by Risk Management. Liaise with **Risk Management** Department to determine coverage requirements.	Risk Management, Contracts & Compliance
US Only - Political Contributions: See FP-LG-013 for authority and process to make political contributions.	SVP Government Affairs

F. CONTRACT MANAGEMENT CONTROL GUIDANCE

1) Some expenditures may be negotiated above property as a Master Services Agreement and may incorporate multiple Hotels. Under such contracts, the individual Hotels impacted may be required to sign a Hotel Participation Agreement (HPA), which must then follow the approval guidelines in this policy.

2) All original executed contracts must be kept by the Finance Leader or Operations Leader in a secure location. Copies are to be issued to the relevant department heads / managers as required for day to day use.

3) The hotel Finance Leader or Operations Leader must maintain a current and comprehensive schedule of contracts that tracks the following:

   a. Vendor name
   b. Contract Reference # (Created by the Hotel)
   c. Description of goods/services
   d. Contract value
   e. Contract final approval date
   f. Commencement date
   g. Expected termination / renewal date
   h. Insurance requirements
   i. Certification of Insurance on file (including expiration date)

4) A summary of all active Licenses and Permits must be maintained by the Finance Leader or Operations Leader on the comprehensive schedule of contracts.

5) This comprehensive schedule of contracts must be continually updated.

6) The comprehensive schedule must be reviewed on a quarterly basis by the Finance Leader and/or Operations Leader to ensure that it is complete and accurate.

7) The amounts due under a contract must be accounted for on an accrual basis, irrespective of when an invoice is received or payment made.

8) For contract amounts of less than $1000 USD annually, it is recommended that these should be expensed directly to the profit and loss account at the date of invoice/contract. However, for smaller hotels where such amounts may be material, or where there are a large number of smaller contracts in larger hotels, they may be accrued/prepaid as appropriate and expensed over the period of the contract. This is at the discretion of the Finance Leader, but whichever treatment is adopted must be applied consistently for at least the whole fiscal year in question.

9) If the property's Owner requires property-level leases to be accounted for in accordance with ASC 842, *Leases*, please reach out to Hilton's centralized Lease Accounting team or HAFS.LeaseAccounting@hilton.com for support.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Authorized Signatory	An officer of an entity or an individual who has been authorized to sign the contract by means of a company charter or by-laws, corporate resolution, a power of attorney, a delegation of authority or otherwise.
Operations Approver	An individual holding the required position of responsibility (or above) over the operations/activities of the functional area that is requesting the commitment of resources.
Contract	Any agreement to be entered into by a Hotel, which is not otherwise excluded under this policy, including an agreement for the purchase of goods or services and additional scopes of work or purchase orders that may

	be placed under a master agreement
Consolidating Joint Venture Hotel	Those Hotels in which Hilton maintains an ownership interest of at least 50% and has control of the joint venture entity (whether through equity, partnership interest, contract, or otherwise). Note that the joint venture may also be subject to a lease.
Leased Hotel	Hotel that is leased by Hilton under contract.
Finance Approver	An individual holding the required position of responsibility or above over the finance control / activities of the functional area that is requesting the commitment of resources
Finance Leader	Ranking Accounting / Finance representative for the property (i.e. DOF, Controller, or Finance Manager).
Heads of Terms	A document that summarizes the key terms of a contract (e.g. contracting parties, duration, services / supply details, pricing, etc.)
Legal Approver	An individual holding the required position of responsibility (or above) in the Legal department of Hilton
Regional Finance Director	Regional Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.
Regional VP of Finance	The VP with Regional responsibility for the Finance functions of Hotels. Finance Leaders may have an indirect reporting relationship to this individual. Title is primarily used in the Americas.
Schedule A	Schedule A refers to items of a capital nature which are generally grouped together. No individual item should exceed US$100k within Schedule A.
Schedule A Bundle	Two or more Schedule A projects / items grouped into one Authorization for Expenditure (AFE) in the Capex database. This is done to reduce the timeline of approval and number of requests for small capital projects in the Capex Database.